

CredResolve – Executive Memo

What happened?

The reported “11% month-on-month improvement” is not supported as a sustained trend. After deduplicating payments by `payment\_id`, recovery was ■17.0 Cr in February and ■18.9 Cr in March (+11.0%), but recovery fell in April and June. July rose again. August is only through 8 August.

Why?

The strongest immediate explanation is that the raw reporting layer is noisy: there are 500 duplicated payment IDs, 8,566 borrower IDs appearing more than once, and 455 accounts without a borrower ID. Portfolio and operational segments differ, but the data is observational, so these should be treated as correlation/segmentation evidence rather than causal effects.

Confidence

****Medium**** for the payment trend after deduplication. ****Lower**** for causal explanations because campaign/targeting assignment is not randomized and several source systems have identifier and timestamp issues.

Recommendation

Do not spend the ■10 Cr based on the 11% claim alone. The most defensible next step is a controlled borrower-targeting experiment: randomly assign eligible borrowers to the current strategy versus a new targeting strategy, hold the recovery window and attribution rules fixed, and compare recovery per eligible account. Use the result to estimate incremental recovery before scaling.

Financial view

The current dataset does not provide a defensible causal estimate of incremental recovery or ROI for a ■10 Cr investment. A pilot should therefore be used to estimate treatment effect, implementation cost, break-even recovery and downside before committing the full budget.